Conventional Loan

This is the most common type of loan out there. It's the most readily accepted by sellers because it's straightforward, without any hoops for the seller to jump through. Though the typical down payment is 20 percent, you can go as low as 3 percent through first-time home buyer loan programs if you have good credit.

Private mortgage insurance (PMI) is charged on these loans when you put down less than 20 percent, but we'll discuss this more a little later. For now, just know that if you're in a typical home-buying situation and can qualify for a conventional loan, this is likely your best bet.

FHA Loan

This loan product is guaranteed by the Federal Housing Administration, so there is a lower risk to lenders who offer this plan. That means it's great for borrowers with lower credit scores (even as low as 580) who may not be able to qualify for a conventional loan. FHA loans also allow borrowers to purchase with a down payment as low as 3.5 percent of the purchase price.

However, the seller must jump through a few hoops, and some sellers simply won't accept FHA loans due to the condition of their home or perceived difficulties with the appraisal process. An FHA loan requires an FHA appraisal, which sticks to the house for four months. That means that if the appraisal comes in low, the seller either has to reduce the price or only allow another type of loan.

The home must also meet minimum habitability requirements at closing—like adequate heating and ventilation, working smoke detectors, a functioning kitchen, at least one functioning bathroom, and multiple exits in case of fire. Basically, the property has to be move-in ready. Ugly is fine, but a property that needs a major rehab most likely won't qualify for this loan product.

If you're looking at condos, they are also a touchy subject for FHA financing. The complex must be warrantable—meaning at least 50 percent of the units are owner occupied, no one owner owns more than 10 percent of the units, and the complex is in good financial standing. If the listing does not allow for an FHA loan and you're planning to use one, you need to check in with the seller and the complex to make sure they can accept this type of loan before falling in love with the condo.